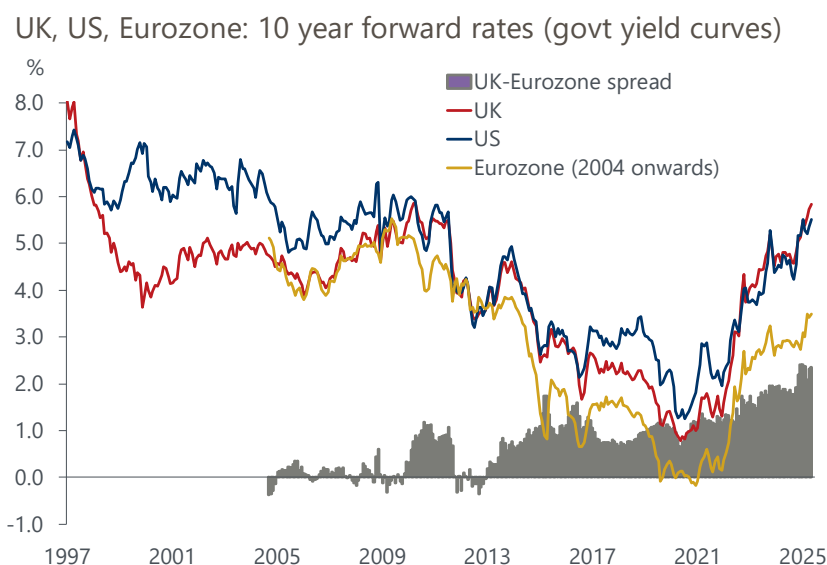


Research Briefing | UK

Tough fiscal choices looming in the Autumn

- The government is likely to face tough fiscal choices in the autumn Budget later this year, because of the prospect that - without corrective action - it will significantly miss its self-imposed fiscal rules.
- There are several possible factors that could worsen the fiscal outlook: a downgrade to the OBR's potential growth forecast; additional commitments to raise defence spending; slippage on the current tax and spending plans; the worse starting point after last year's revenue shortfall; and higher gilt yields.
- In theory, the government could improve the fiscal outlook for the next few years by being much bolder in implementing policies to lift potential growth. But in practice, we regard this as unlikely.
- We also doubt that the government will change its fiscal rules again, given risks that this would erode its fiscal credibility, hence adding to long-term borrowing costs and increasing the fragility of the UK's fiscal position. UK long-term forward rates already have risen markedly over the last few years, and spreads over the Eurozone equivalent are around the highest of the last 20 years.
- We think the government is likely to largely duck these challenges in its upcoming Spending Review, which will probably maintain the existing spending totals for the next few years. But as a result, some mix of further tax hikes and spending cuts beyond the three-year horizon for the spending review seems likely in the Autumn Budget.
- The scale of the necessary corrective action is uncertain at this stage. However, the prospect of additional fiscal tightening is likely to weigh on household and business sentiment this year.

Chart 1: Forward spreads versus the Eurozone are around the highs of the last 20 years



Source : Oxford Economics/Haver Analytics

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In the October [2024 Budget](#), the incoming Labour government set two fiscal rules:

- The current budget (i.e. fiscal deficit excluding public investment) projected to be in surplus in 2029/2030, shifting to a rolling three-year target from 2027 onwards;
- Public sector debt, defined as public sector net financial liabilities (PSNFL), falling as a share of GDP in 2029/2030, also shifting to a rolling three-year target from 2027 onwards;

In the March Spring Statement, [the OBR projected](#) that the UK will meet these fiscal rules with £9.9bn headroom, with the current budget target acting as the constraint (and slightly higher headroom on the debt rule). Headroom was the same as in the October 2024 Budget, but well below historic norms – during 2010 to 2022, headroom averaged £31bn in today's prices.

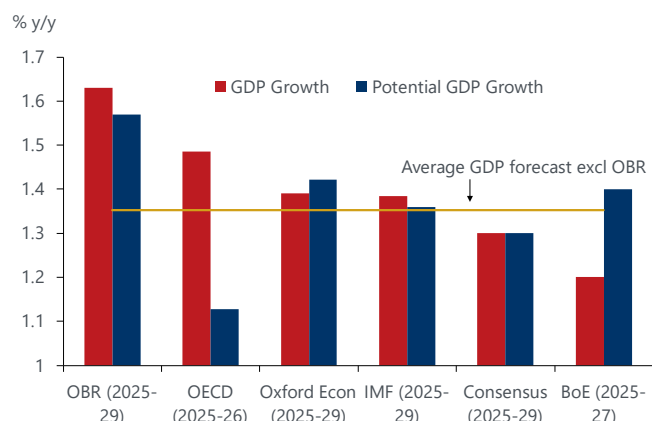
Since the Spring Statement, risks have risen that the OBR will project a worse fiscal outlook later this year, leaving the government at risk of missing either (or both) of its fiscal rules. Note that in the Autumn 2025 Budget, the OBR's five-year forecast horizon will advance from 2029/2030 to 2030/2031, but the fiscal rules will still need to be met in 2029/2030. In practice, we assume the government will seek to meet them in both 2029/2030 and 2030/2031.

Fiscal risk 1: Lower potential growth outlook

As we [highlighted earlier this year](#), the OBR's GDP growth forecasts in coming years are significantly above all other external forecasts, which implies a relatively favourable outlook for tax revenues, the fiscal deficit and debt ratio. This reflects a more optimistic forecast for potential GDP growth ([Chart 2](#)).

Chart 2: The OBR are optimistic on the growth of GDP and potential GDP

UK: Forecasts for growth of GDP and Potential GDP



Source: Oxford Economics / Haver Analytics

There is little difference between our forecasts for labour supply and those of the OBR, with both reflecting the ONS population projections and trends in participation and average hours worked. The same probably applies to other external forecasts.

The main difference is the OBR is much more optimistic on labour productivity. It assumes that productivity growth (output per hour) will rise from an average of 0.6% y/y during 2010-2019 and 0.4% y/y in 2020-2024 to an average of 1.0% y/y in 2025-2029 (including 1.2% y/y in 2027-2029). The OBR hasn't offered a justification for its view other than that it would represent "broadly the average of the higher growth in the decade before and lower growth in the decade after the global financial crisis."

We are sceptical of this assumption. Like (we suspect) most forecasters, we expect productivity growth to remain around the modest pace of the last 15 years, implying a lower potential growth outlook. Productivity growth has [repeatedly undershot the OBR's forecasts](#) in recent years. Moreover, background trends (low investment/GDP ratio, [adverse effect on business investment](#) from high trade policy uncertainty, increased frictions in global trade, persistent skill shortages) do not give good grounds to expect significantly stronger productivity growth in the next few years.

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Of course, there are uncertainties. However, as a point of principle, it appears imprudent for fiscal forecasts to continue to be based on optimistic potential growth assumptions without solid justification and extensive research to back them up.

Various other recent developments could also affect the OBR's potential GDP outlook. Some are positive, while some are negative. Note that some of these have not yet completed their legislative process and hence would not be included by the OBR if it was to update its economic outlook now; but they may be able to be included in the Autumn Budget. In any case, we regard it as highly unlikely that these could justify the OBR's base case.

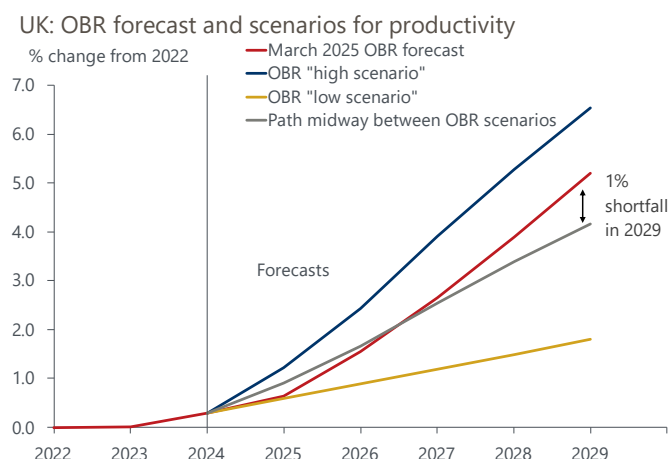
- The [Resolution Foundation](#) estimates that the benefit reforms announced earlier this year (and not included in the OBR's Spring Statement forecasts) could add 60,000-100,000 (0.2%-0.3%) to labour supply over time, implying a lift to the level of potential GDP of 0.1%-0.2% four or five years ahead.
- The UK-India trade deal, and the [UK-EU reset](#), will also provide modest boosts to potential GDP (probably less than 0.1% in 2029/30) because lower trade frictions will lift trade flows and help productivity.
- However, the recent [tightening of immigration controls](#), including the end of social care visas and a higher threshold for skilled workers visas could reduce workforce growth. [Official estimates](#) suggest the measures will reduce inward migration by about 100,000 per year, most of which would translate into lower workforce growth. In the Spring Statement, the OBR used the [ONS 'migration category variant'](#) projection, with net inward migration falling from an average of 756,000 per year on average in 2022-2024 to 305,000 on average in 2025-2030. This was a faster fall in net inward migration than the ONS principal projection, which was for an average of 437,000 per year. It is unclear if the OBR will regard the recent policy measures as implying an even lower baseline for net inward migration, or simply what is needed to achieve their existing projection. If, for example, it lowered its estimate for the contribution of net inward migration to the workforce by 25k per year over 2025-2030, this would imply a cut of 0.2%-0.3% to the level of potential GDP four or five years ahead.
- Even with the UK-US trade deal, UK exports to the US could face an extra 10% tariff, whereas the Spring Statement assumed no rise in tariffs from last year's levels. Even if the UK does not retaliate with extra tariffs on imports from the US, [OBR estimates](#) imply the resulting drop in trade openness would cut potential GDP by about 0.15% in 2029/2030. The downgrade would be greater if the UK retaliates with higher tariffs on imports from the US.
- Moreover, the OBR forecasts do not take into account the sharp rise in [trade policy uncertainty](#) since last year, which is likely to weigh on business investment (and hence capital stock growth), adding further downside risks to potential GDP growth.

The OBR has produced relatively optimistic (and generally wrong) potential growth forecasts for a while. However, the March Budget contained hints that the OBR may be preparing the ground for a downgrade, with two scenarios around its central forecast. The first assumes productivity growth in 2025-2029 that is 0.3ppts above its forecast and the second assumes it's 0.7ppts below (**Chart 3**). The disparity between these scenarios suggest the OBR acknowledges the risks around its forecast are skewed to the downside.

A path midway between the two scenarios would imply a 1% downgrade to the level of GDP (and potential GDP) in 2029/2030. In this case, £12bn extra fiscal tightening would be needed in 2029/2030 to restore the current level of headroom. If the OBR downgrades its GDP growth forecast for 2025-2029 to match the external consensus, this would imply a 1.4% downgrade to GDP in 2029/30, and the required fiscal tightening would be about £20bn.

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Chart 3: The March statement seemed to acknowledge downside risks to the OBR's productivity forecast



Source : Oxford Economics/Haver Analytics

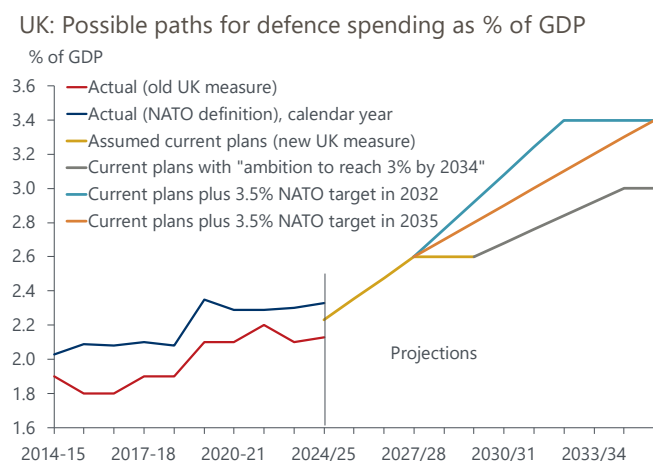
If the OBR intends to cut its productivity growth forecast, it will probably stress that this is not an adverse verdict on the current government's policies, but a correction of a prior bias in its judgement of the underlying productivity trend. One way to do this would be through its regular ["Forecast Evaluation Report"](#) (FER), due on July 1, which assesses its forecast record. As an illustration, in the [October 2017 FER](#), the OBR noted that, in light of repeated productivity undershoots "we are minded to revise down significantly our assumption for trend or sustainable productivity growth over the next five years in our forthcoming Economic and fiscal outlook in November." This was followed by marked downgrades to the OBR's potential growth outlook in its [subsequent November 2017 fiscal outlook](#). We may get a rerun this year.

It is notable that this year's FER is relatively early (prior ones have usually been published in October, just before the yearend fiscal update). This is consistent with the idea that, if the OBR intends to use the FER to signal a lower potential growth outlook, it will probably do so well before the Autumn Budget to give the government ample time to adjust its fiscal plans in the Autumn Budget as needed.

Fiscal risk 2: Higher defence spending

The government has announced that [defence spending](#) will rise from around 2.0% of GDP in recent years to 2.5% of GDP in 2027/28 (2.6% on the new UK definition that includes security and intelligence spending). This would equate to about 2.7% of GDP on the NATO definition of defence spending, which is slightly larger than the UK government figure because it also includes some other spending, e.g. armed forces pensions. This rise in defence spending is funded within the existing fiscal plans but looks inadequate in light of ongoing pressures to spend more.

Chart 4: Defence spending may have to rise well above the existing plans



Source : Oxford Economics/Haver Analytics

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Some other European countries have recently [announced more substantial increases](#), while the UK government has announced an "ambition" to lift defence spending to 3% of GDP "in the next parliament" (which would mean by 2034 at the latest). Even that may be too low in light of the new NATO target that is likely to be set at the [June NATO summit in the Hague](#). NATO Secretary General Mark Rutte [recently highlighted](#) the need for higher defence spending, saying: "We know that the 2% pledge – agreed way back in 2014 – just doesn't cut it any more. So in 2025, we are finalising a plan to dramatically increase defence spending across the Alliance." He added: "I assume that in The Hague we will agree on a high defence spend target of in total, 5%." This, he explained, would comprise a target "considerably north of 3%" of GDP in direct military spending (e.g. 3.5%), plus a target for military-related spending (e.g. some types of infrastructure) of about 1.5% of GDP. [Press reports](#) suggest these targets will need to be met by 2032 (two years earlier than for the UK's 3% target) or by 2035 (one year after the UK's 3% target).

Given this, it's likely that the UK will need to lift defence spending in coming years significantly above 2.5% of GDP (2.6% on the new measure).

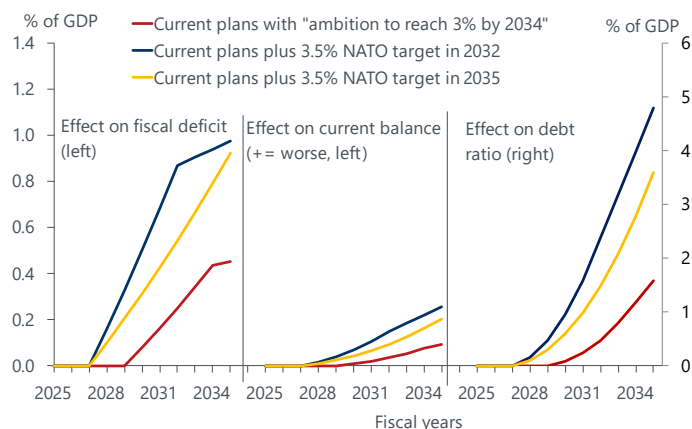
To illustrate the impact on the fiscal position, we designed three possible scenarios for future defence spending to 2035/36, compared to a baseline in which defence spending (new measure) rises to 2.6% of GDP in 2027/28 and stays there. We assume extra defence spending is reflected in a higher fiscal deficit, that bond yields are unchanged, and ignore any effects on GDP. We also assume that 90% of any extra defence spending would be capital rather than current spending, consistent with the increase in the March Budget (91% of the extra defence outlays for 2025/26 to 2029/30 was capital spending). The high capital spending share makes it slightly easier to meet the fiscal rules, because the binding constraint currently is the current budget rule, and this excludes capital spending.

- Scenario 1: defence spending rises steadily from 2.6% of GDP (new measure) in 2029/30 to 3.0% of GDP in 2034/35, consistent with the current ambition to reach 3% of GDP by end of the next parliament.
- Scenario 2: defence spending (new UK measure) rises steadily from 2.6% of GDP in 2027/28 to 3.4% of GDP in 2032/33, which would be consistent with the NATO measure at 3.5% of GDP in 2032.
- Scenario 2: defence spending (new UK measure) rises steadily from 2.6% of GDP in 2027/28 to 3.4% of GDP in 2035/36, which would be consistent with the NATO measure at 3.5% of GDP in 2035.

Scenario 1 would not require much, if any, extra spending in the existing fiscal plans, which currently extend to 2029/30 and are due to roll to 2030/31 in the Autumn Budget. For example, the government could say that defence spending will rise gradually to 3% of GDP in 2034, which would only require a small addition (slightly below 0.1% of GDP) to planned defence spending in 2030/31. Or it could simply leave defence spending at 2.6% of GDP (new measure) in 2030/31 and say all the rise to 3.0% of GDP will occur beyond that. Any resulting need for extra fiscal restraint from this factor would be postponed until after 2029/30.

Chart 5: An early rise in defence spending to 3.5% of GDP would wipe out fiscal headroom

UK: Effect on fiscal outlook from defence spending scenarios



Source : Oxford Economics/Haver Analytics

Scenario 2 (NATO measure reaches 3.5% of GDP in 2032) could have a much bigger effect. Extra defence spending would be £5bn in 2028/2029, £11bn in 2029/30, and £17bn in 2030/31, with bigger increases later

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on. Extra current spending on defence and debt service would slightly cut headroom against the current balance rule in 2029/30, by £1bn-£2bn compared to the Spring Statement, so it would be about £8bn (0.2% of GDP). The impact on the current balance would rise in later years as the effect on debt service grows. With most extra defence spending assumed to be capital, the debt rule would become the binding constraint in coming years. With this extra defence spending, the debt ratio would fall slightly in 2029/30 (by 0.1ppts of GDP), the minimum required to meet the second fiscal rule and with no room to spare. Overall fiscal headroom would be wiped out. Offsetting tightening of about £10bn would be needed to maintain the existing level of headroom in 2029/30, with greater tightening probably needed in 2030/31 and subsequent years as defence spending rises further.

Scenario 3 would fall partway between the first two. With a slower rise in defence spending than scenario 2, but greater than scenario 1, and a starting point of greater headroom against the debt rule than the current balance rule, fiscal tightening of only about £2bn would be needed to maintain existing headroom for 2029/30. But, as with scenario 2, greater tightening would probably be needed in 2030/31 and later years.

Of course, the government could for now choose to ignore pressures for extra defence spending, and simply set its fiscal plans on the basis that defence spending will reach 2.6% of GDP (new measure) this decade. This is likely to be the approach in the upcoming Spending Review, which will detail the government's plans for current spending to 2028/29 and capital spending to 2029/30.

But if the NATO target is set in a few weeks at "considerably north of 3%" by 2035 or earlier, then, at the time of the Autumn Budget, fiscal plans that assume defence spending remains at 2.6% of GDP even in 2030/31 could lack credibility among financial markets, while also undermining the UK's role in NATO. To establish a more credible path to defence spending "considerably north of 3%" next decade, the government may decide in the Autumn Budget that it needs to add some extra spending within the five-year OBR forecast horizon.

Fiscal risk 3: Policy slippage

The third risk is of fiscal slippage on the existing public spending plans and tax measures. This is because the existing fiscal plans include some measures that may be politically difficult to implement, especially given the government's poor ratings in opinion polls.

The government has already said that the plans to scrap pensioners' winter fuel payments will be revised and indicated that the two-child limit on family benefits will be eased. The planned reductions in disability benefits may also need to be scaled down in the face of widespread opposition from the government's own MPs. And the government has accepted the [various public sector pay review bodies' proposals](#), which imply pay growth of 3%-4% this year, whereas the [spending plans assume 2.8% pay growth](#). More generally, the Spring Statement plans [implied some real-terms declines in unprotected departments](#) (i.e. outside health and defence) in coming years, that may be incompatible with some of the [government's stated missions](#), for example on improving education and childcare, reducing crime rates, and shifting to net zero. The fiscal plans also assume that the 'temporary' 5p cut in fuel duties introduced in early 2022 will be reversed in the Autumn Budget. They additionally assume that fuel duties will rise in line with inflation in the Autumn Budget, even though this has not been the case since 2011/12.

It's hard to quantify the risks of fiscal slippage. We think the government is likely to duck these issues in the upcoming Spending Review. And in the Autumn Budget, the OBR will use the government's spending totals and tax plans even if they seem unrealistic. But the risks are clearly stacked in favour of some additions to the spending totals, and/or slippage on tax policies, in the Autumn Budget.

Fiscal risk 4: Revenues may undershoot

The [latest data](#) suggest the fiscal deficit in 2024/25 overshot the March Budget forecast by £11bn, with central government receipts £3.2bn below expectations. It's not clear why revenues undershot. Indeed, given the provisional nature of the data, it's by no means certain that they did undershoot. Still, the undershoot came against the backdrop of stronger-than-expected economic growth. So the OBR could deem the weakness to be structural in nature and assume this could persist, adding to borrowing in later years.

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Fiscal risk 5: Higher bond yields

Since the Spring Statement, the MPC has cut Bank Rate by 25bps. However, market expectations for Bank Rate in 2029/30 are a little higher and longer-term bond yields have risen significantly. The overall effect, at current yields, would add about £4bn to the OBR's forecast for debt service outlays in 2029/30.

What will the government do if the OBR projects a fiscal overshoot?

It might seem strange that even a modest downgrade to the fiscal outlook could require the government to tighten fiscal policy. However, that is a direct consequence of the government's decision to leave itself very little headroom against its fiscal rules. A wiser choice would have been to start with much higher headroom (as was the case from 2010 to 2022), thereby allowing modest forecast changes to be reflected in varying headroom, rather than having to change the tax and spending plans.

In theory, the government could seek to restore fiscal space by pursuing a stronger pro-growth agenda that seeks to lift potential growth in coming years. This would allow the OBR to forecast a higher path for GDP and hence tax revenues, improving the fiscal outlook. We sketched out [a range of policy measures](#) early this year, including closer trade links with the EU, measures to lift workforce participation, support for investment in intangibles, and a special visa scheme to ease shortages of construction workers. However, in practice, we doubt the government's actions will move the dial significantly. Partly this is because its growth agenda so far has been quite modest, and partly it's because many policy measures would only have their full effect on potential GDP well beyond the OBR's five-year forecast horizon.

Another option, in theory, would be for the government to aim to create more fiscal space by again changing the fiscal rules, to make them easier to meet. In practice, we also regard this as unlikely, especially given the sharp rise in UK long-term yields over recent years. For example, 10-year forward rates have risen sharply and, apart from a brief spike in early 2010, are the highest since early 1998 (**Chart 1**). Long-term yields have also risen in other advanced economies, but the rise has been especially large in the UK. For example, the spread between UK and Eurozone 10-year forward rates is up to about 230bps from about 120bps three years ago. This spread is now around the highest of the last 20 years, even though the UK and Eurozone have identical inflation targets and similar sluggish productivity growth trends.

The rise in this forward spread may reflect a mix of factors, including the sharp rise in the UK government debt/GDP ratio over the last 20 years, recent UK inflation stickiness, the 'Liz Truss Budget' debacle, as well as the UK fiscal pressures discussed above. The current government already eased the fiscal rules last year, and a decision to do so again would, we suspect, weaken policy credibility and keep UK yields relatively high or even lift them further. In turn, persistently high long-term yields would further dampen business investment and undermine potential growth. And if long-term yields rose further, the resulting rise in the government's debt service costs would at least partly erode whatever extra fiscal space it has gained. For example, if a change in the fiscal rules caused a 50bp rise in gilt yields and the path of Bank Rate for coming years, this would add £10bn-£11bn (0.3% of GDP) to the OBR's forecast for debt service costs in 2030/2031.

In practice, therefore, we suspect that if the OBR delivers an adverse preliminary verdict on the fiscal rules in the run-up to the Autumn Budget, the government will lift taxes further and cut its spending plans to ensure the OBR's final forecast keeps within the existing fiscal rules. The scale of any necessary action, the balance between tax and spending, and any specific tax measures, may become clearer in coming months. For example, revisions to the 2024/25 fiscal data may affect the starting point, and a new NATO defence spending target may be set. Meanwhile the OBR may lay the ground for a downgrade to its potential growth outlook.

But it's not hard to see pressures for extra fiscal tightening of £15bn-£30bn from the developments discussed above. The need to raise revenues may require the government to revisit its [manifesto commitments](#), which seemed to rule out increases in most major taxes.

The implications of any additional fiscal tightening for the outlook for growth and interest rates will depend on the drivers and the specific measures. For example, if additions to defence spending are offset by spending cuts elsewhere, this might be roughly neutral for GDP growth and interest rates, with any secondary effects depending on the relative multipliers of the differing types of spending. Conversely, if a

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lower potential growth outlook requires extra fiscal tightening, this is more likely to dampen GDP growth and imply a lower interest rate outlook. Either way, the threat of further tax hikes will probably weigh on private sector spending this year.

